

OVERVIEW

1,99,927

Total Loans

2.88bn

Total Loan Value

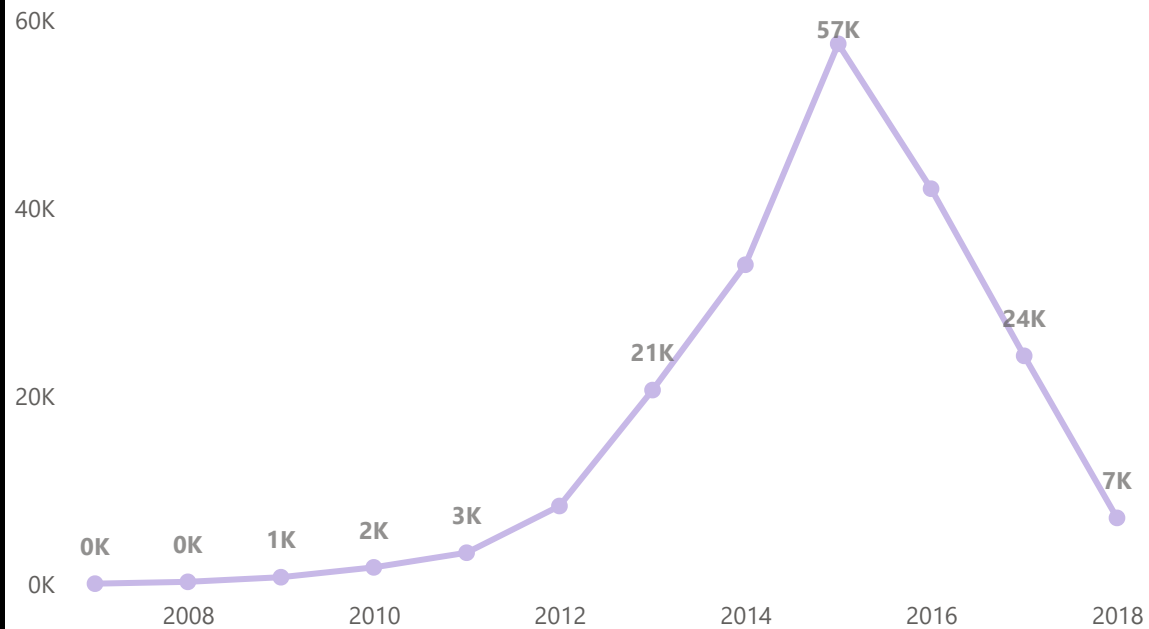
20.22%

Default Rate

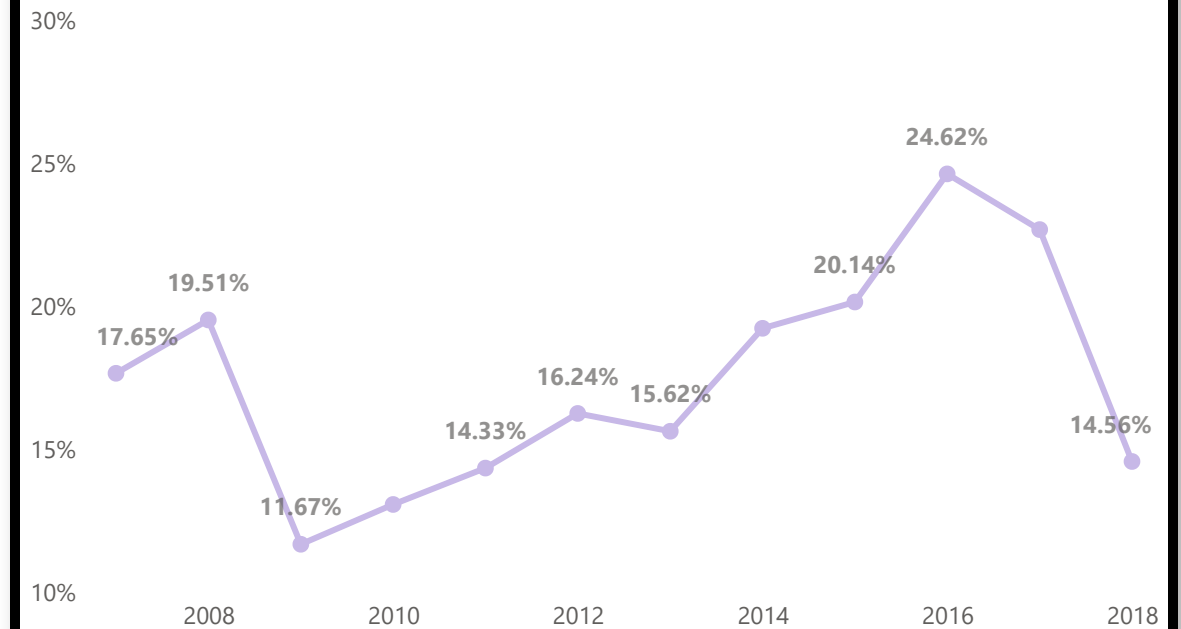
13.27

Avg Interest Rate

TOTAL LOANS BY YEAR



DEFAULT RATE BY YEAR



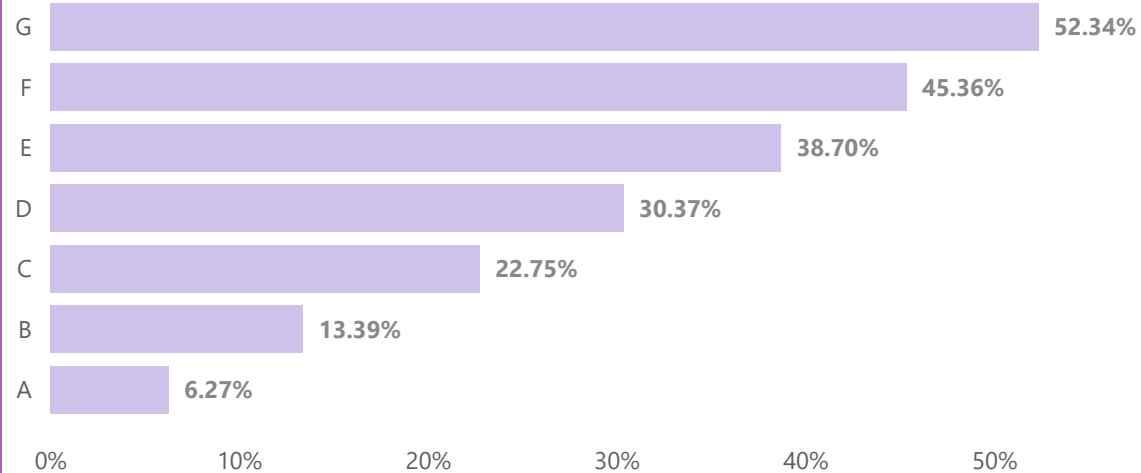
RISK SEGMENTATION

GRADE

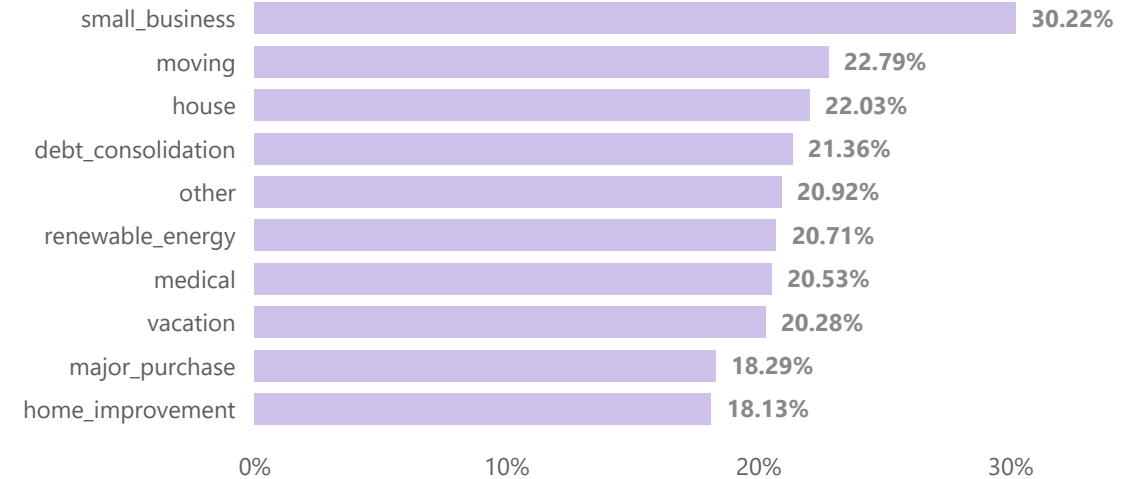
All



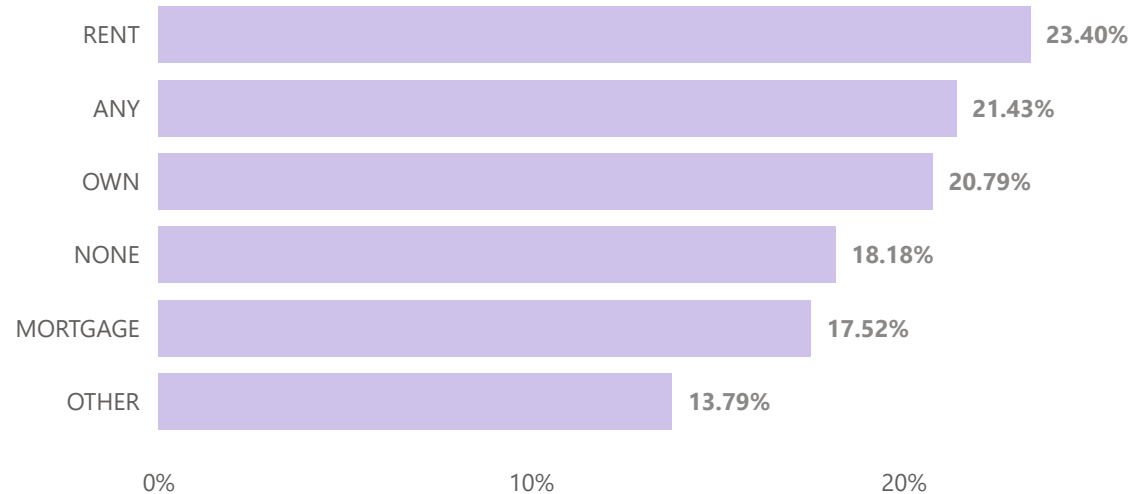
DEFAULT RATE BY GRADE



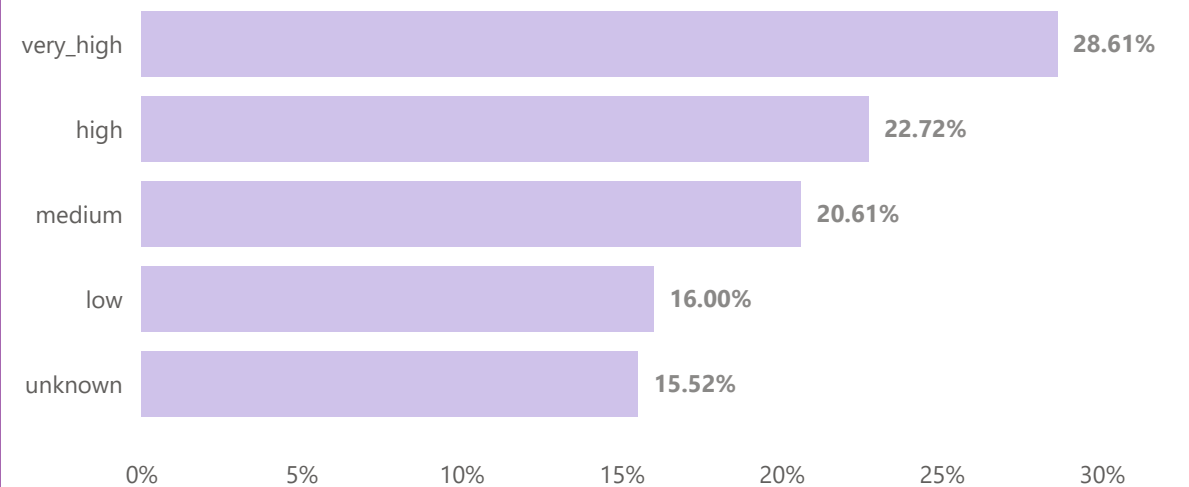
DEFAULT RATE BY PURPOSE



DEFAULT RATE BY HOME OWNERSHIP



DEFAULT RATE BY REVOL_UTIL_BUCKET



STATISTICAL INSIGHTS

Default Rate
20.22%

OVERALL DEFAULT RATE

20.22% overall default rate
95% CI: [20.04%, 20.39%] — n = 199,927

GRADE ASSOCIATION

$\chi^2 = 13,819.55$, $p < 0.001$
Grade and default status are significantly associated (chi-square test)

GRADE DRIVES INTEREST RATE

F = 333,916, 90.9% variance explained
One-way ANOVA: grade alone explains most of interest rate's variation

INCOME EFFECT

\$69,375 vs. \$76,419
Defaulted borrowers averaged lower income than those who paid off (Welch's t-test, $p < 0.001$)

DTI RAISES RISK (BAYES' THEOREM)

23.95% vs. 20.22% baseline
P(default | above-median DTI), computed via Bayes' Theorem and confirmed directly

THE VERIFICATION PARADOX

22.58% vs. 14.76%
Verified applicants defaulted MORE often than unverified — verification correlates with risk-based underwriting, not causation